A TALE OF A RETAILER

The Kirana Credit Book: A Shopkeeper's Refusal

On a Thursday evening in November 2025, Arjun Yadav stood at the back of his uncle's shop in Ghatkopar East, Mumbai, and watched him work.

The evening rush had started at about a quarter past six, when the first trains from South Bombay began emptying at the station. For the next ninety minutes the shop held between four and nine people at any moment. His uncle Ramesh served them in an order Arjun could not work out, which was not first come first served and which nobody objected to. He reached for things before they were asked for. He said no to a brand of atta and suggested another. He told one woman that the item she wanted had gone up by eleven rupees, in a tone that suggested he was apologizing for it personally.

At about ten past seven a man in a blue shirt bought rice, dal, two soaps and a packet of tea, and did not pay. Ramesh wrote something in a cloth-bound notebook, the man said something Arjun did not catch, and both laughed. The whole exchange took perhaps four seconds. Nobody in the queue appeared to notice it had happened.

Eight months earlier, Arjun had spent an afternoon showing his uncle a calculation. The calculation demonstrated that a tablet-based billing and credit system Ramesh had been offered would earn him close to Rs. 26,000 a year, that the first six months were free, and that he could cancel with one month's notice. Arjun had checked the arithmetic twice. His uncle had looked at it carefully, asked two sensible questions, and said he would think about it.

Ramesh was still using the notebook.

Arjun was going back to his college in Rohtak on Sunday, and he intended to raise it one more time. A professor he had spoken to had told him two things. The first was that telling his uncle he was being irrational would end the conversation without solving the problem. The second was that if the savings calculation had not worked in March, repeating it in November would not work either.

Arjun did not yet know what he would say instead.

Yadav General Store

Ramesh Yadav, 54, had run Yadav General Store on a lane off Rajawadi Road in Ghatkopar East since 2003. His father had opened the shop in 1979, four years after arriving in Bombay from a village near Jaunpur, Uttar Pradesh and had run it until a stroke in 2002. Ramesh had worked behind the counter since he was fourteen and had never done anything else.

The shop occupied 420 square feet on the ground floor of a four-storey building he did not own, at a rent of Rs. 62,000 a month. The landlord's family lived on the first floor. The lease had been renewed four times without a written agreement.

He carried roughly 900 stock keeping units, staples in loose and packaged form, pulses, oil, packaged food, soap and detergent, a small cosmetics shelf, cold drinks, and two refrigerators holding dairy and frozen

goods. The shelves ran to the ceiling. Stock above shoulder height was reached with a wooden pole that had a hook at one end, and only Ramesh knew what was up there.

He employed one assistant, Sonu, who was 19, had come from Gorakhpur two years earlier, and slept in the loft above the shop. Sonu delivered to the buildings in the lane on a bicycle, usually between eleven and one, when the shop was quiet. Ramesh's wife, Sunita, handled the counter between 4:00 p.m. and 7:00 p.m., which overlapped with the first half of the evening rush.

Approximately 190 households bought from the store regularly. They came from four buildings in the lane and two housing societies on the road behind it, and they were a mixed lot. Gujarati families who had been in the lane longer than the Yadavs, Maharashtrian households from the older buildings, a Malayali nurse who worked nights at a hospital in Mulund, and, since about 2019, a growing number of young tenants who stayed eighteen months and left.

The lane had changed. Two of the four buildings nearest the shop had gone in for redevelopment and come back taller, which had added households but also added a watchman who would not let Sonu past the gate. A modern trade outlet had opened a seven-minute walk away in 2021. Three quick-commerce services delivered to the lane, two of them in under fifteen minutes, and Ramesh could see the riders from his counter. His sales had not fallen. He attributed this to three things: credit, delivery, and the fact that he knew what people bought before they asked.

The store's monthly financial position is set out in Exhibit 1.

The Credit Book

About 70 of the 190 regular households bought on credit and settled monthly, most of them in the first week after salaries arrived. The arrangement had no written terms. Nobody had ever applied for it.

Ramesh recorded credit sales in a cloth-bound notebook, one page per household, in a shorthand that only he read fully. Sunita could read about half of it. Sonu could read none of it and was not permitted to write in it. The current notebook was the fourteenth. The previous thirteen were in a steel trunk at home, and Ramesh had never thrown one away.

Arjun had asked his uncle, in March, how a household got credit in the first place. Ramesh said that it was not a thing that was granted. A family shopped for some months, and then one day they were short, and he said leave it, and after that they had credit. Asked whether he had ever refused, he said that it had not come up in that form.

Asked how he decided how much credit a household could run up, Ramesh said it depended on the family.

Arjun pressed. Depended how?

Ramesh said that the Shah family on the second floor ran to eight or nine thousand some months, and that this was fine because the father worked at a bank and the money always came. The nurse from Mulund sometimes went to four thousand and always paid within two days of being paid herself, and once, when she had been late, she had come to the shop to explain why, which Ramesh said she had not needed to do. There was a family in the building behind, whom he did not name, who had gone to eleven thousand in 2022 and taken five months to clear it. They still shopped at the store. They paid cash now. Ramesh had never discussed this with them; he had simply started asking for payment each time, pleasantly, until they stopped asking for credit. The wife still said good morning to him.

None of that was in the notebook. The notebook held dates and amounts.

In October 2025, a customer insisted he had already paid for a bag of rice in September. Ramesh examined the page, could not find the entry, and let it go. It was Rs. 1,240. Sonu, who told Arjun about this later and with some embarrassment, thought it had happened before.

The Distributor's Offer

In March 2025, a representative from one of Ramesh's distributors, who called on the shop every fortnight and had done so for six years, offered him a tablet-based billing and credit system.

The terms were six months free, then Rs. 1,500 a month, cancellable with one month's notice. Installation and two hours of training were included. The tablet belonged to the distributor and would be collected if Ramesh cancelled. Nothing was payable up front, and there was no contract beyond the monthly notice period.

The system performed five functions. It printed a bill for each sale. It tracked credit balances by household and showed what was outstanding and for how long. It sent payment reminders by short message service to the customer's mobile number, on a schedule the shopkeeper set. It flagged items that had not moved within a set number of days. And it produced a weekly report showing margin by category.

The representative demonstrated it on his own tablet, standing at the counter, during a quiet stretch at about three in the afternoon. The demonstration took eleven minutes. He told Ramesh that 14 shops in the area had taken the system and that three of the 14 had cancelled within the free period, two of them because they found the billing step slowed the evening rush and one because his son, who had been operating it, had left for a job in Pune.

Ramesh asked two questions. He asked what happened to the customer information if he stopped, and was told that it remained on the distributor's server. He asked whether the reminders could be turned off, and was told that they could, but that recovering overdue credit was the main reason shops adopted the system, and that shops which turned the reminders off generally stopped using it within a few months.

Ramesh said he would think about it. The representative, who knew him, did not press. He mentioned it twice more over the following months and then stopped mentioning it.

The Nephew's Analysis

Arjun Yadav, 24, was in the second year of a MBA program in IIM Rohtak. He had grown up in the lane and had worked behind the counter during school holidays until he was eighteen. He was the first person in the family to study management, and his uncle was proud of him in a way neither of them discussed. Ramesh had paid part of the first year's fees and had refused to let his brother mention it.

When Arjun came home in March, he spent a weekend with the notebook and the till slips. Reading the credit book took him most of Saturday, partly because of the shorthand and partly because the pages were not in any order he could identify. He visited the shop on eight occasions over the following fortnight, four of them during the evening rush, and stood at the back with a notebook of his own, which his uncle found funny and mentioned to two customers.

He produced the estimate set out in Exhibit 2 and walked his uncle through it on a Sunday afternoon, in the back room, with the shutter half down.

Ramesh listened to the whole presentation without interrupting, which took about twenty minutes. Then he asked how Arjun had arrived at the figure of Rs. 44,000, and Arjun showed him the 14 pages. He asked

which items were close to expiry, and Arjun named eleven; Ramesh agreed with eight and said two of the others always moved in December. He asked what the figure of Rs. 11,000 for ordering errors was based on, and Arjun explained the method, and Ramesh said that was fair.

Then he said that the numbers looked right and that he would think about it.

Arjun, who had expected an argument about the numbers and had prepared for one, did not know what to do with agreement.

Eight Months of Refusals

By November 2025, Ramesh was still using the notebook. The free trial had never been started.

Arjun raised the subject four times over those eight months, on visits home and twice by telephone. He received a different answer each time, and he wrote each one down afterwards, because by the third occasion he had begun to find the pattern more interesting than the decision.

April. Ramesh said the numbers looked right, but that he did not want a machine holding his customers' names. If a family fell behind, he said, he did not want a message arriving on their telephone where anyone in the house could see it. A son could read it. A mother-in-law could read it. People who ran short did not want it known that they had run short, and in a lane of four buildings it would be known within a week.

Arjun pointed out that the reminders could be turned off. Ramesh said that then the machine was a cash register, and he had managed without a cash register for twenty-two years.

July. Ramesh said he knew every family's habits. He knew which two always paid late and always paid. He knew which household had a daughter's wedding in December and would need credit from October. He knew that the nurse from Mulund worked nights and that her money came on the fourth. He knew the family in the building behind who had taken five months in 2022, and he knew that they still came, and that this mattered more than the eleven thousand had. No system knew any of that.

September. Ramesh mentioned 2019. He had added a second refrigerator that year on a distributor's advice. The building's wiring could not carry it. Power failed twice during the evening rush in a single week, once for forty minutes, on a day in August when it was raining and the shop was full. Stock in the first refrigerator was lost. Two regular customers from the second floor moved to the shop on the main road and did not return; one of them, he said, still crossed the lane to avoid passing the shutter.

Arjun asked how many customers he had gained since 2019. Ramesh said he did not count that.

November. Ramesh said the notebook worked.

Arjun noticed that across all four conversations, his uncle never once argued with the arithmetic.

How Ramesh Made Decisions

Over the same eight months, Arjun also asked his uncle a set of questions he had been given as a class exercise. He wrote the answers down. He had expected them to be a formality.

Ordering. Asked how he decided the atta order, Ramesh said he ordered what he had ordered the previous month, and added if there was a wedding in the lane or if the Navratri dates fell early. Asked how he knew when to change the quantity, he said he could see what was left on the shelf on a Thursday. Asked what

happened if he was wrong, he said the distributor came on Tuesdays and Fridays, so being wrong cost him two days.

Margin. Asked whether he had ever worked out his margin by category, Ramesh said the store made money and that was enough. Arjun asked which category earned the most. Ramesh said cold drinks, because the distributor gave the best terms and the fridge was already running. Arjun checked and found that cold drinks earned 9 per cent against a store average of 14 per cent, and that the two categories earning the most were loose staples and cosmetics, the second of which occupied about four feet of shelf.

Arjun did not tell him. He was not sure why.

Losses. Asked which of his 900 items lost money, Ramesh said there must be some.

The weekly report. Asked what he would do with the margin report the system produced, Ramesh did not answer. Asked again a week later, he said he would look at it.

One observation Ramesh volunteered. In 2022, he had stopped stocking three brands of biscuit. Asked why, he said that they sat there. Asked how he had known, he could not say. He had never counted anything, and there was no record. He had simply stopped reordering them over a period he estimated at two or three months and had not thought about it since. Asked whether he had been right, he looked at Arjun as though the question did not mean anything and said that nobody had asked for them.

The Sunday Conversation

Four things had changed by the time Arjun came home in November 2025.

The distributor had instructed the representative to close the free trial offer at the end of the month. After that date, the terms were Rs. 1,500 a month from the first day, with the same one-month notice period.

Three more shops in the area had adopted the system, bringing the total to 17. One of them was the shop on the main road, the same shop that had taken two of Ramesh's customers in 2019.

The October dispute over the bag of rice had cost Rs. 1,240 and had been settled in the customer's favor. Sonu thought it had happened before. Ramesh had not mentioned it to Arjun at all; Arjun had heard it from Sonu, on the back step, while Sonu ate his lunch.

And Sunita had said, in passing and without any apparent intention behind it, that Ramesh had been at the shop until eleven on three nights in October doing the month's accounts, and that he had been doing them in the same way since before they were married.

Arjun had one conversation available to him, on Sunday morning, before he took the train back.

He knew the savings calculation would not work, because it had not worked in March and nothing about it had changed. He knew that calling his uncle irrational would end the conversation, and would also be unfair to a man who had run a shop profitably through a redevelopment, a modern trade entrant and three quick-commerce services. What he did not know was what to say instead.

EXHIBIT 1: YADAV GENERAL STORE, INDICATIVE MONTHLY FIGURES, FINANCIAL YEAR 2024–25

Item	Amount (Rs. per month)
Sales	11,20,000
Gross margin at 14 per cent	1,56,800
Rent	62,000
Assistant's wages, including food and lodging	18,000
Electricity, telephone, and sundries	11,000
Credit written off (Ramesh's own estimate)	2,000
Net to the household	63,800

Note: Ramesh Yadav had never produced this table. The figures were assembled by Arjun Yadav from the credit notebook and till slips over one weekend in March 2025. Ramesh had not seen them.

EXHIBIT 2: ARJUN YADAV'S ESTIMATE OF ANNUAL GAIN FROM THE SYSTEM, MARCH 2025

Source of gain	Basis	Annual value (Rs.)
Credit recovered	Rs. 44,000 outstanding beyond 90 days across 14 households, against Ramesh's own estimate of Rs. 24,000 a year written off. Reminders assumed to recover half.	24,000
Ordering errors avoided	17 items out of stock on at least three of eight visits; 11 items with visible dust or expiry within 60 days.	11,000
Time saved	Four hours a week of reconciliation, valued at nil, as Ramesh performed it after closing.	0
Cost of the system from month seven	Rs. 1,500 a month	(9,000)
Net, year one	Trial period at no cost	**26,000**

Questions

1. By the standard of a decision maker with unlimited attention, what should Ramesh Yadav do? What does that standard assume about him that is not true?
2. Ramesh gave four answers on four different days. Are these four separate reasons, or one reason described four ways? Take a position and defend it.
3. In one line: if you were Arjun, what would you say on Monday morning?